



Intellectual Property Law (6th edn)

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<https://doi.org/10.1093/he/9780198869917.003.0036>

Published in print: 31 October 2022

Published online: October 2022

Abstract

This chapter discusses three requirements that a sign must satisfy to be validly registered or, if it is already registered, to ensure that it is not subsequently declared invalid: there is a sign; the sign can be represented adequately; and the sign must be capable of distinguishing the goods or services of one undertaking from those of other undertakings. The chapter also considers specific policy-based limits on the registration of shapes or other characteristics of products, in the form of three ‘functionality’ exclusions. It also briefly outlines certification and collective marks.

Keywords: sign, registration, graphical representation, shapes, functionality, retail services, service marks, trade marks, certification mark, collective mark

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1 Introduction

The first requirement that a sign must satisfy to be validly registered or, if it is already registered, to ensure that it is not subsequently declared invalid is that it must conform to the definition of a trade mark in section 1(1) of the Trade Marks Act 1994. In particular, it is necessary to show that there is (i) a sign, (ii) which can be

represented adequately on the register, and (iii) which is capable of distinguishing the goods or services of one undertaking from those of other undertakings. Failure to comply with any of these requirements means that the sign will not be registered; this is one of the absolute grounds for refusal set out in section 3(1)(a). Alternatively, if a mark is incorrectly registered, the registration of the mark may be declared invalid under section 47(1).

Before looking at these three elements in more detail, it is important to recall that the requirement that the sign must possess the qualities of a trade mark that are set out in section 1(1) is only the first of three general limitations that are placed on what can be registered as a trade mark. In addition, it is also necessary to ensure that the mark is not excluded by one of the absolute grounds for refusal found in section 3.¹ It is also necessary to show that the mark is not excluded by any of the relative grounds for refusal found in section 5.²

2 What is a Sign?

For a trade mark to be validly registered, it is necessary to show that it consists of a 'sign'. No statutory definition is given as to what is meant by this term. Indeed, one of the notable features of the current law is that there are very few *a priori* restrictions placed on what may be registered as a trade mark.³ The starting point for considering what may be protected as a sign is section 1 of the 1994 Act, which provides a non-exhaustive list of the types of sign that may be protected as trade marks. These include words (including p. 963 ↵ personal names), designs, letters, numerals, or the shape of goods or of their packaging.⁴ Although all of the matters referred to in section 1 of the Act are visually perceptible, the Court of Justice has held that the concept of a sign is not limited to visually perceptible matter; as a result, both sounds and smells have been held to fall within the notion of a sign.⁵ The 'types of signs that are nowadays considered as being capable of constituting a trade mark have expanded beyond words or figurative devices'.⁶ Over time, trade mark registries have come to recognize the following categories of signs which have the potential to be marks: words, letters, or numerals, including media titles, slogans, and (potentially) hashtags; figurative marks which include both pictorial elements as well as stylized words or numerals; three-dimensional shapes including product packaging; the specific position of a sign upon a product; regularly repeated patterns; both single colours per se and colour combinations; sounds; elements or images in motion; multimedia, combining images and sound; holograms; and a residual 'other' category. Some registries also recognize scents, tastes, and textures.⁷

The more open approach adopted under the trade mark regime has been welcomed by trade mark owners. Engaging customers' senses of sound, sight, smell, and touch during a shopping experience has a verified impact on decision making and spending thresholds.⁸ Since sensory stimuli can influence the shopping experience, multisensory branding is of considerable interest to marketers. It has also been welcomed because of the fact that, by increasing the features of products that may indicate source, it benefits consumers from different cultural backgrounds and with varying standards of literacy.⁹ Some, however, have questioned whether the potential problems that are raised by some of the more exotic marks are justified by the benefits that they confer on their owners.¹⁰

Although it is clear that the concept of a 'sign' is broad, it is not without limits. In two cases, the Court of Justice has indicated that attempts to register must be refused if the subject matter was not a 'sign' for the purposes of trade mark law. The first occasion related to an attempt to register a combination of colours (blue and yellow) howsoever they were applied to articles or packaging.¹¹ The Court held that while a colour *could* be a sign, it was not necessarily so: in many situations, colour is simply a property or characteristic of a thing. According to the Court, in order to prevent trade mark law from being used by one trader to obtain an unfair advantage over other traders, an applicant for a colour mark must establish that the colour in question is seen as a 'sign'. Unfortunately, the Court of Justice provided little guidance on how an applicant was to establish (or an office to assess) the semiotic status of a colour or colour combination. If the requirement is that the applicant must show that consumers see the colour combination as indicating origin, the requirement seems to add nothing over the demand that the mark be not devoid of distinctive character.

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The second case, *Dyson Ltd v. Registrar of Trade Marks*,¹² concerned an attempt to register a trade mark which consisted 'of a transparent bin or collection chamber forming part of the external surface of a vacuum cleaner as shown in the representation'. Along with this description, Dyson also submitted representations in the form of photographic images of two vacuum cleaner models with external bins, but the mark as claimed extended beyond these two exemplars. An externally mounted transparent collection bin has functional utility; customers can visually verify when the bin needs emptying, while it is easy to detach. However, since it was very emphatically not a shape, the (then applicable) functionality objections did not apply. The Court of Justice reasoned that since a multitude of bin shapes and configurations could satisfy the representation and description of the sign, it related to non-specific subject matter.¹³ Recognizing exclusive trade mark rights in such an abstract, technical concept would allow Dyson to obtain an unfair competitive advantage in a (useful) property of the underlying product. Since it related to an abstract property of the product which could be implemented in a variety of ways, it was not a specific sign.¹⁴ The Court's reasoning suggests that subject matter will not constitute a sign when it is (i) an impermissible abstraction, as a mental concept capable of manifesting in different ways; and (ii) the concept has a purpose (in this case, technical) such that recognizing exclusive rights through trade mark law will bestow an unfair competitive advantage upon the applicant. It is evident that the first of these rationales overlaps with the *Sieckmann* representation requirements, emphasizing clarity and precision.¹⁵

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This reasoning has been subsequently applied by the Court of Appeal in two cases heard together, *Nestlé v. Cadbury*¹⁶ and *Spear v. Zynga*.¹⁷ In *Nestlé*, the Court of Appeal reversed the decision of the Registrar and HH Judge Birss QC, and held that Cadbury's application for 'the colour purple (Pantone 2685C), ... being the predominant colour applied to the whole visible surface, of the packaging of the goods' should not have been accepted as it referred to a 'multitude of permutations, presentations and combinations of the subject matter of the registrations'.¹⁸ For the same reason, in *Spear*, the Court affirmed Arnold J's decision invalidating the registration of a 'three-dimensional ivory-coloured tile on the top surface of which is shown a letter of the Roman alphabet and a numeral in the range 1 to 10', on the grounds that it potentially covered many signs.

3 Limitations for Shapes and Other Characteristics

While, in extending trade mark protection to the shape of goods, trade mark law took account of the realities of consumer buying habits, it also gave rise to a problem: that trade mark rights could operate to limit competition in ways that were contrary to the public interest. In order to avoid such undesirable effects, section 3(2) provides for a ‘preliminary obstacle’ to registration¹⁹—namely, that a sign shall not be registered as a trade mark if it consists exclusively of a shape, or another characteristic, that:

- (i) results from the nature of the goods themselves;
- (ii) is necessary to obtain a technical result; or
- (iii) gives substantial value to the goods.

After the reform package leading up to the TMD 2015, EU and therefore UK trade mark law extended this preliminary obstacle beyond shapes, to a broader range of characteristics associated with signs. The latter is understood to include other product characteristics which might be applied for as a trade mark, such as a colour which may be chosen for its technical function (radiating heat or increasing visibility).

3.1 Preliminary Issues

Before looking at each of the exclusions in detail, it is worth noting five features that they have in common.

(i) Two inter-related policy rationales account for these exclusions. The first relates to the anticompetitive effects of granting a legal monopoly, via trade mark law, on a product feature which consumers are likely to seek in a product of that type from any producer. This reasoning emerged in the context of shapes necessary to obtain a technical result. In *Phillips v. Remington*,²⁰ relating to whether the faceplate of a three-headed electric shaver qualified as a trade mark, the Court of Justice referred to the equivalent to section 3(2) in general as being:

intended to prevent the protection conferred by the trade mark right from being extended ..., so as to form an obstacle preventing competitors from freely offering for sale products incorporating such technical solutions or functional characteristics in competition with the proprietor of the trade mark.²¹

p. 966 Natural, functional, or ornamental shapes, or product characteristics, are features that consumers might value in their own right, and thus features in relation to which (absent ↵ any other intellectual property protection) there should be competition.²² The second rationale acknowledges the risks of overlapping protection and impermissible ‘life extension’. Once again, this was initially identified in the context of shapes necessary to obtain a technical result, where the Court of Justice confirmed that:

undertakings may not use trade mark law in order to perpetuate, indefinitely, exclusive rights relating to technical solutions ... In the system of intellectual property rights developed in the European Union, technical solutions are capable of protection only for a limited period, so that subsequently they may be freely used by all economic operators.²³

With an eye to preventing copyright or design term extension, this reasoning was extended to shapes which add substantial value in *Hauck*.²⁴ If such shapes (or other characteristics) could be protected indefinitely under trade mark law, this would subvert the logic of having finite terms of protection under other intellectual property regimes. Without such an exclusionary filter, a shape which was sufficiently technical to qualify for a 20-year term of patent protection could then rely upon that period of exclusivity to claim trade mark protection on the basis of acquired distinctiveness, thereby gaining indefinite protection, since trade marks can be renewed every ten years. Trade mark law, which is intended to facilitate competition by reducing consumer search costs in the marketplace, would instead inhibit competition.²⁵ These two policy objectives, developed in the context of excluding technical shapes, are considered equally applicable to all three exclusions.²⁶ In this respect, section 3(2) plays a similar role to that played in US trade mark law by the doctrines of ‘mechanical functionality’ and ‘aesthetic functionality’.²⁷

p. 967 (ii) The section 3(2) exclusions previously applied only to ‘shapes’. Although this might seem a significant limitation, the courts have interpreted it flexibly. The Court of Justice has held that it applies to packaging of products that have no intrinsic shape of their own (such as liquids or granules).²⁸ Moreover, the Court has confirmed that figurative marks which depict the underlying products may themselves be treated as ‘shapes’.²⁹ In *Yoshida Metal v. OHIM*,³⁰ the General Court considered whether the exclusion might apply to a figurative mark representing the handle of a kitchen knife (Fig. 36.1). The Court found that the relevant provision made ‘no distinction between three-dimensional shapes, two-dimensional shapes, or two-dimensional representations of three-dimensional shapes’.³¹ This, perhaps, reflects the fact that the underlying pro-competitive policy rationales described earlier should be equally applied to such marks.³² On appeal, the Court of Justice endorsed this approach and additionally clarified that the mode of representation of a mark could not restrict the Registry. While the representation requirement had a scope definition objective—‘in order to determine the precise subject of the protection afforded by the registered mark to its proprietor’—that could not be abused to ‘restrict the competent authority’s examination under’ the functionality objections.³³ The Registry was entitled to look beyond the (supposedly two-dimensional) representation and consider the application in the round, as well as the ‘the actual use made of the trade mark following its registration’, provided that use shed light on the situation at the time of filing the application.³⁴ Nevertheless, there are outer limits to the notion of a shape. In *Louboutin*, the Court of Justice held that ‘in the context of trade mark law, the concept of “shape” is usually understood as a set of lines or contours that outline the product concerned’.³⁵ Thus a colour mark applied to a specific position on a product—in this case red applied to the sole of high-heeled shoes—was not a shape, notwithstanding its apparent three-dimensionality.³⁶

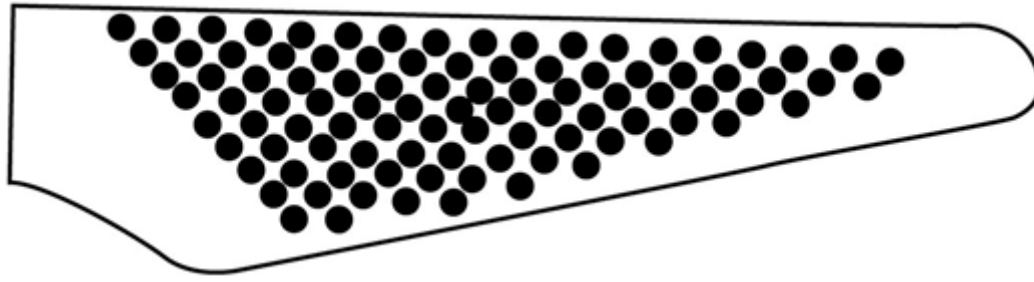


Fig. 36.1 Yoshida kitchen knife handle design

Source: *Pi-Design AG v. Yoshida*, Case C-340/12P (6 March 2014) (Seventh Chamber)

p. 968 (iii) The broadening of these policy exclusions, via the introduction of other characteristics, is a recent and significant development. There is very limited judicial guidance on this expansion, so trade mark registries are taking the lead. For example, under the ‘nature of the goods’ exclusion, the EUIPO gives the examples of a sound mark representing the sound of motorbikes for such goods, or an olfactory mark of a scent for perfumes.³⁷ In the past, the Court of Justice has been asked to consider whether the colour red, positioned on the sole of high-heeled shoes, might add substantial value but it avoided answering this question by holding that the sign in question was not a shape.³⁸ In a similar vein, the Court avoided answering whether a figurative mark for furnishing fabrics, known as MANHATTAN for its stylized depiction of the eponymous city grid, could be invalidated on the basis of adding substantial (aesthetic) value, since it was not a shape.³⁹ When the General Court was asked whether the colour gold on a sparkling wine bottle served a technical function, by acting as a barrier to light and preventing oxidation in order to preserve the organoleptic qualities of the wine, it did not have to address the issue since the mark was a combined colour and shape.⁴⁰ These cases illustrate the issues which lie ahead, once the ‘shapes only’ bottleneck drops away. One category of two-dimensional signs which may be affected by this expansion is pattern marks, since they apply to the surface of goods and potentially add ornamental value.⁴¹ However ‘characteristics’ should not extend to cover conventional figurative marks (in the form of images or drawings), since these exclusions apply to characteristics or features that are intrinsic to the goods, as opposed to appearing on labels applied to them. An open question is whether the criteria and tests that have been incubated in the context of shapes can be translated to other types of signs. As we will see immediately below, trade mark examiners are required to identify the essential characteristics of a shape—the gist or important essence of it—before asking whether one of the policy exclusions applies. This made sense where a shape was made up of distinct parts of varying importance. How is this analytical step to be performed for a single colour, or for a hybrid mark consisting of shape and colour, or the position of a colour on a product, or a sound mark? The final point to note is that non-traditional marks, such as colours or patterns, which have been already registered seem to be protected against retrospective scrutiny on the basis of ‘other characteristics’. The Court of Justice has confirmed that the expansion of these policy exclusions does not have retrospective effect for EUTMs.⁴² This would probably likewise apply to domestic marks.

(iv) To be excluded, the sign must consist ‘exclusively’ of an excluded ‘natural, functional or ornamental’ shape. Does this require the sign in its entirety—100 per cent of it—to be natural, ornamental, or functional? If so, it would be all too easy to bypass the exclusion via the addition of a single capricious element that is not affected by the relevant indent. In *Lego*,⁴³ the Court of Justice reinterpreted this by asking instead whether

p. 969 the ‘essential characteristics’ of the shape fall within the exclusions. The effect of this is that the addition of trivial features to a shape that is otherwise excluded will not render the sign registrable.⁴⁴ In contrast, a shape is not excluded if there is a ‘major’ non-excluded element.⁴⁵ Consequently, one technique for avoiding this exclusion is to combine the sign being applied for with other non-excluded elements, such as a word mark, whereupon the sign in question no longer consists *exclusively* of an objectionable shape or other characteristic.⁴⁶

In determining which characteristics are ‘essential’ and which are ‘trivial’, the Court of Justice has offered some guidance. In *Lego*, the Court indicated that the essential characteristics were to be identified by the authority deciding on the application (i.e. the Registry) and not from the perspective of the relevant consumer for those products.⁴⁷ The essential characteristics are the ‘most important elements of the sign’.⁴⁸ Precisely which elements qualify has to be assessed on a case-by-case basis, which gives examiners considerable discretion.⁴⁹ The examiner may either base the ‘assessment directly on the overall impression produced by the sign, or first examine in turn each of the components of the sign concerned’.⁵⁰ Depending on the degree of difficulty, this could involve a simple visual analysis or a more detailed examination, taking into account ‘surveys or expert opinions, or data relating to intellectual property rights conferred previously in respect of the goods concerned’, such as prior patent or design registrations.⁵¹ In identifying the essential characteristics, consumer perception is not in any way dispositive—these exclusions apply notwithstanding how distinctive a sign may in fact be—but it remains a relevant criterion of assessment,⁵² which may have additional significance for the ‘ornamental’ exclusion (are consumers likely to see the identified elements as having aesthetic appeal?).⁵³ The Court of Justice has provided additional guidance on when consumer perception is relevant for (i) identifying the essential characteristics of a sign (stage 1), and (ii) when subsequently assessing whether those characteristics contribute towards the relevant exclusion (stage 2).⁵⁴ For the technical result exclusion, consumer perception, or ‘the presumed perception by the relevant public’ may be a relevant criterion at stage 1 but *not* at stage 2, which calls for ‘objective and reliable information’ (the description in the application, previous IP rights such as patents, expert opinions, catalogues and websites etc.).⁵⁵ For the substantial value exclusion, the perception or knowledge of the relevant public as regards the product represented in the application is a relevant criterion for stage 1 and possibly for stage 2 as well, when considering ‘objective and reliable evidence that the consumer’s decision to purchase the product in question is to a large extent determined by’ the characteristics identified.⁵⁶ More generally, the two-stage approach of first identifying the essential characteristics and then assessing whether they all fit within or perform one of the policy exclusions is by now well established.⁵⁷ *Novartis* provides an illustration of this approach.⁵⁸ All the essential characteristics of a figurative mark (Fig. 36.2) representing a transdermal patch to deliver Alzheimer’s medication—the square shape of the liner serving to package and store the patches, the circular arrangement of knobs to protect the patch prior to use, the white stripe representing the protective plastic layer, the circular shape of the patch ensuring that it affixes on the skin and is less likely to come loose—served a technical result.

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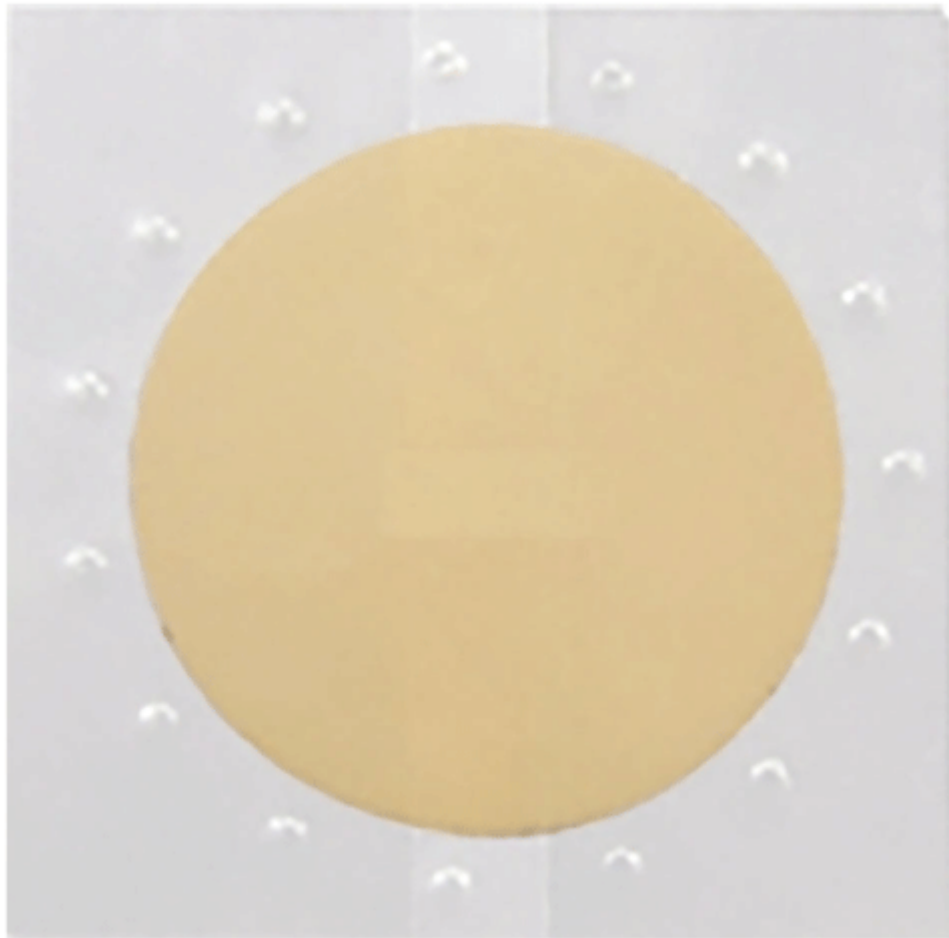


Fig. 36.2 Novartis transdermal patch for medication

Source: *Novartis AG v. EUIPO*, Case T-44/16, EU:T:2018:48

p. 971 It should be noted that distinctiveness is irrelevant when identifying the essential characteristics of the mark in the first stage.⁵⁹ It has also been clarified that the function of the actual goods concerned (as indicated in the registration application) will provide guidance in determining whether the essential characteristics perform a technical function.⁶⁰ ↵ Thus, the actual function of a rotating puzzle toy (the Rubik's cube) was relevant when analysing whether the essential characteristics of the cube mark performed a technical function.⁶¹ The Registry examination was not restricted to the information provided in the trade mark application. Finally, as regards the second stage, the causal relationship between characteristics identified and their effects must be demonstrated. For example, as regards the technical result exclusion, it must be 'demonstrated that the essential characteristics of [the] sign combine at least the characteristics which are technically causal of, and sufficient to obtain, the intended technical result'.⁶²

The fact that the exclusions apply only where the sign applied for consists 'exclusively' of the excluded features, even when interpreted liberally, leaves open at least two difficulties. First, what happens if some features of a shape are excluded under one exclusion and the remainder under another? Is the mark registrable because, when viewed from the perspective of each exclusion, the sign cannot be said to be 'exclusively' natural, functional, or ornamental? Bearing in mind the policy goal of the exclusions, the answer should be 'no': for a sign to be registrable, it must not subsist exclusively of matter covered by any of the three

exclusions. However the Court of Justice held otherwise, on a reference in relation to a child's high-chair (Fig. 36.3), some features of which appeared to be 'natural' while others were 'ornamental'.⁶³ It subsequently confirmed this stance when the English High Court referred the same issue in relation to the shape of a chocolate bar (Fig. 36.4), all features of which were said to be excluded, but some as 'natural' and others as 'functional'.⁶⁴ Therefore the so-called mosaicking of exclusions—combining ornamental characteristics with natural or functional ones in order to reject the sign—is not permitted.



Fig. 36.3 Stokke TRIPP-TRAPP chair design

Source: *Hauck GmbH & Co. KG v. Stokke A/S*, Case C-205/13

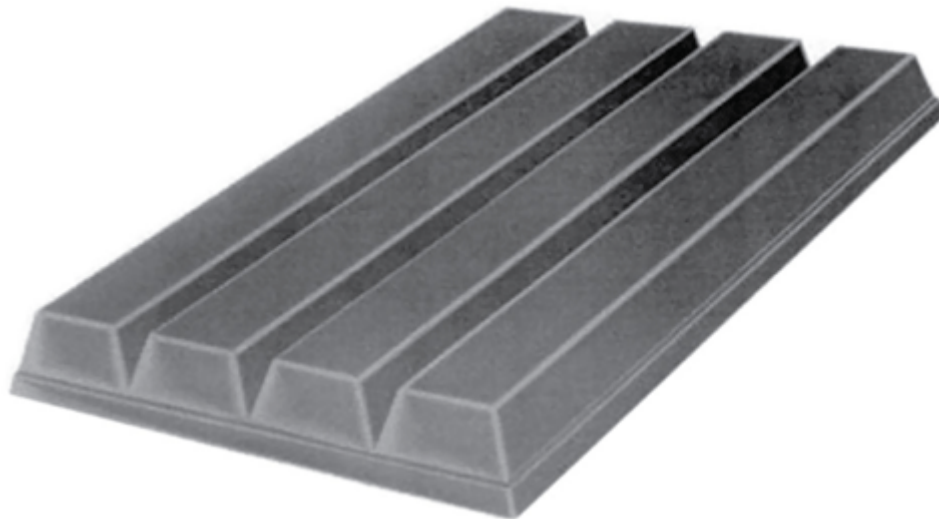


Fig. 36.4 Nestlé's chocolate bar trade mark

Source: *Société des Produits Nestlé SA v. Cadbury UK Ltd* [2014] EWHC 16 (Ch)

A further and related problem concerns the *consequences* of a finding that a sign does not comprise 'exclusively' excluded matter. The present approach to section 3(2) considers signs as a whole, in terms of their essential characteristics. What if a *very significant part* of the sign is entirely functional or ornamental but this falls short of *all* the essential characteristics? If a sign incorporates a major non-functional element, such as a decorative or otherwise imaginative element that plays an independent role, then not all the essential characteristics will be technical.⁶⁵ Sometimes this element takes the form of a word mark or logo on the shape.⁶⁶ This one element is then sufficient to insulate the entire sign against the exclusion. There is a real danger that if excluded features form a substantial part of a registered sign, a competitor using these features might be treated as having used a 'similar sign' for the purposes of infringement. The Court of Justice has implied that the infringement tests rely on the perspective of the hypothetical average consumer, who will not ignore substantial natural, technical, or ornamental elements ↵ but may give them less importance.⁶⁷ Consequently, infringement tests can be refined to limit the impact of any overlapping technical or ornamental elements when comparing the similarity of signs, such that the focus is on these decorative elements or word marks which allow such signs to be registered in the first place.⁶⁸ If a technical product shape would not have been registrable but for the accompanying word mark or logo, the fact that the junior user or defendant is using a different mark on their otherwise similar product should count. A second possibility relates to recognizing a defence in such situations. As we will see in Chapter 40, there is no explicit exception permitting a competitor to utilize freely the excluded aspects of a registered shape, even if they do so honestly (although the recent reforms may have implicitly created a defence in this regard).⁶⁹ In contrast, US law offers just such a defence.⁷⁰

(v) Perhaps most importantly, these objections cannot be overcome by showing that the sign is recognized as distinctive. The Court of Justice thus stated that if the shape of jeans (having an oval kneepad and two lines of sloping stitching from hip height to crotch height) gave substantial value to the goods and so was unregistrable, it was of no consequence—for trade mark law—that consumers would recognize the shape and understand it as indicating that G-Star had made the jeans.⁷¹ This result might be open to criticism, on

the basis that consumers who do consider a shape as indicating trade origin might be deceived when competitors sell the same shape.⁷² However, it seems that the law of passing off might operate in such circumstances at the very least to ensure that the product is sold in such a way that no deception occurs.⁷³

3.2 Where the Shape Results from the Nature of the Goods Themselves

Section 3(2)(a) provides that a sign shall not be registered where it consists exclusively of a shape that results from the nature of the goods themselves.⁷⁴ The Court of Justice has now clarified that this exclusion applies in three situations: (i) for natural products which have no substitute, such as the shape of a banana for bananas; (ii) for regulated products, whose dimensions are prescribed by legal standards, such as a rugby ball; as well as (iii) for ‘shapes with essential characteristics which are inherent to the generic function or functions of such goods’.⁷⁵ In doing so, the Court endorsed the Advocate-General’s reasoning, which is instructive as regards this third category. Certain generic features of a product—such as the lid, handle, or spout of a kettle—usually result from its practical function. Users are likely to seek these features in the products of all manufacturers. Where the shape consists of little else besides these generic and practically functional features, for which—in economic terms—there is no equally good substitute, it falls within the exclusion and cannot be registered, notwithstanding evidence of acquired distinctiveness.⁷⁶ In

p. 974 ↵ extending the exclusion beyond the first two categories to cover ‘generic’ shapes as well, the Advocate-General rejected a restrictive interpretation of this provision which would have it only apply ‘to goods which do not have alternative shapes’ and for which there is no design freedom, that is, only natural or regulated shapes.⁷⁷ However where a bottle shape (‘Collio’) was conventionally adopted by producers of sparkling wine, the General Court considered this to be a marketing decision and not determined by the nature of the product—a liquid which would take the shape of any container.⁷⁸ The exclusion did not apply.

The policy rationale or public interest underlying this indent is similar to the functional and ornamental exclusions. If trade mark protection is granted to the characteristics of a product which a user is likely to seek in the products of a competitor, trade mark law descends into becoming an obstacle to healthy competition. ‘All three grounds serve to keep in the public domain the essential characteristics of particular goods which are reflected in their shape’.⁷⁹

One question that is raised by the exclusion is: what is meant by the phrase, ‘the goods themselves’? The way in which this question is answered is important, given that the more narrowly the ‘goods themselves’ is defined, the more likely it is that the shape will correspond to the goods in question and thus be excluded. This question was considered in *Philips v. Remington* both at first instance⁸⁰ and by the Court of Appeal,⁸¹ where the issue was whether the shape of a three-headed rotary shaver fell within the scope of section 3(2) (a) (see Fig. 36.5).

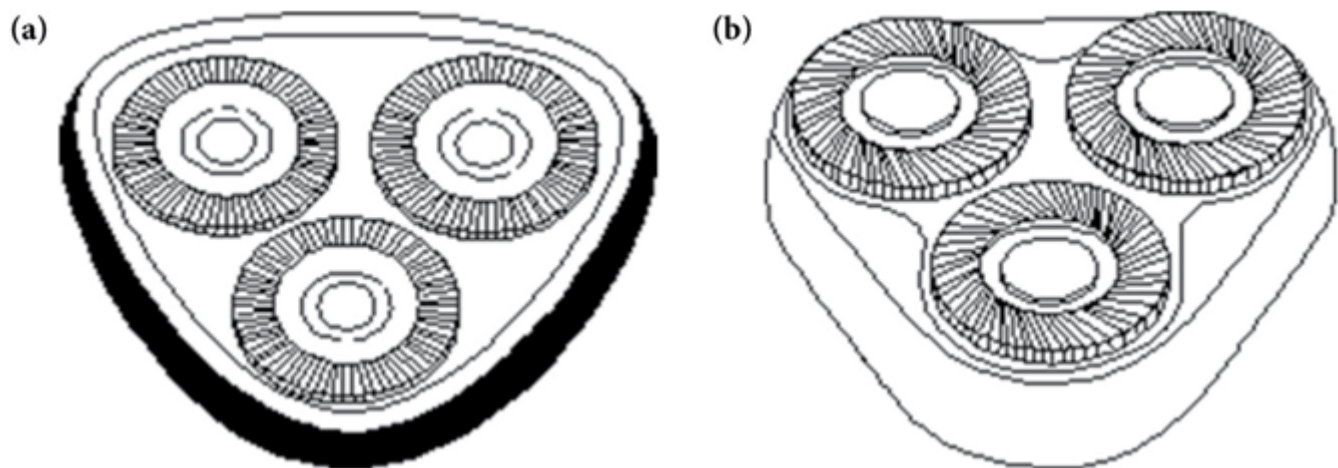


Fig. 36.5 Philips three-headed electric shaver mark

Source: Koninklijke Philips Electronics NV

At first instance, Jacob J said that it was possible for the ‘goods themselves’ to be defined either as ‘three-headed rotary shavers’, ‘electrical shavers’, ‘mechanical shavers’, or ‘shavers’ as such. As opposed to their formal classification on the application form, the Judge preferred an approach which prioritized the manner in which the goods were regarded as a ‘practical business matter’; in other words, how they were viewed as articles of commerce. On this basis, he concluded that the relevant goods were ‘electrical shavers’.⁸² By contrast, the Court of Appeal placed greater reliance on the way in which the mark was classified, with the caveat that registries and courts should be alert to the possibility of applicants tactically classifying goods and services broadly to escape the exclusion.⁸³

While the Court of Justice has not yet addressed the issue, it has been considered in the context of a challenge to the registration of the shape of Lego mini-figures, which had been applied for in relation to ‘games and playthings’ in Class 28. The invalidation applicant argued in favour of a functional approach to construing the goods; narrowing it down from the broader ‘games and playthings’ in the registration to the specific toys depicted (here, figures) which had the ability to interlock with other toy bricks.⁸⁴ However the argument was insufficiently developed to be pursued on appeal.⁸⁵ More revealingly, the issue was again considered in an invalidation challenge to the shape of the Rubik’s Cube toy, applied for in relation to ‘three-dimensional puzzles’ in Class 28. The Advocate-General reasoned that since the assessment of the nature of the goods was a question of fact, it could not be reassessed on appeal save in exceptional circumstances.⁸⁶ However the reasoning suggests that in different circumstances, the broad registration classification of ‘three-dimensional puzzles’ (which come in many different shapes) could give way to the narrower commercial category of puzzle cubes or ‘magic cubes’, which was a known category in the market at the time of the trade mark application, based on evidence submitted by the cancellation applicant.⁸⁷

3.3 Where the Shape is Necessary to Obtain a Technical Result

The second limitation on the types of shape that can be registered as trade marks is set out in section 3(2)(b) of the 1994 Act.⁸⁸ These provide that a sign shall not be registered where it consists exclusively of a shape that is necessary to obtain a technical result. In many ways, section 3(2)(b) is very similar to section 3(2)(a). In

Philips v. Remington and *Lego*, the Court of Justice has offered two explanations for the exclusion. On the one hand, it has said that the exclusion is designed to ensure that trade mark rights do not impede traders from offering products incorporating ‘technical solutions or functional characteristics’ that a user or consumer might want.⁸⁹ In addition, the Court has noted that the exclusion would also prevent individuals from using registration ‘to acquire or perpetuate exclusive rights relating to technical solutions’, thereby bypassing the finite duration of patent protection.⁹⁰ Nevertheless, it seems that the Court does not restrict the concept of ‘technical result’ to the meaning given to it in patent law.⁹¹ While clearly a higher threshold than merely functional—since almost every shape has a function or purpose (a glass contains the liquid within it)⁹²—this concept includes desirable and practically useful aspects of shapes. Consequently, the exclusion should encompass shapes that facilitate convenient storage or transportation of the goods, or which provide the purchaser with other ‘convenience features’ such as enhanced strength or the use of the least material.⁹³

In *Nestlé SA v. Cadbury*, the question arose as to whether ‘technical result’ is broad enough to cover how the goods are manufactured, rather than how they are to be used. The application concerned the shape of a four-fingered KIT-KAT chocolate wafer bar. The grooves between each chocolate finger allowed consumers to easily separate them, while the angles of the sides and grooves were determined by a specific chocolate moulding process (see Fig. 36.4). The Advocate-General agreed with the referring court that the underlying rationale of the provision sought to keep ‘technical solutions’, including manufacturing processes, freely available to competitors and thereby excluded from registration.⁹⁴ Remarkably, the Court of Justice disagreed, favouring a more literal interpretation that could be reconciled with previous doctrine and concluding that the technical result exclusion applied ‘only to the manner in which the goods at issue function and [not] to the manner in which the goods are manufactured’.⁹⁵

(i) *When is a shape ‘necessary’ to achieve a technical result?* The key issue in relation to section 3(2)(b) is: when is a shape *necessary* to achieve a technical result? In *Philips v. Remington*, the reference arose from an action brought by Philips against its competitor Remington to prevent the latter from selling three-headed rotary shavers. Having developed such rotary shavers in 1966 and having registered a figurative mark depicting the shaver in 1985, Philips commenced infringement proceedings against Remington in 1995. Remington counterclaimed for invalidity, on the basis that this was a shape *necessary* to achieve a technical result. Philips retaliated by arguing that ‘necessary’ implied that the shape must be ‘the only one’ capable of performing the technical function. Demonstrating the existence of other shapes which could achieve the same result (a close and effective shave) would establish that the shape was therefore not absolutely ‘necessary’ or indispensable to achieve the result. By contrast, Remington argued that ‘necessary’ required only causal necessity. If the shape was chosen to cause the desired result (a close shave) it was ‘necessary’ within the meaning of the provision. The trial court initially found for Remington⁹⁶ and the Court of Appeal subsequently sought clarification from the Court of Justice on this issue.⁹⁷ After outlining the pro-competitive policy basis for this provision, the Court favoured a causal understanding of necessity. It concluded that the exclusion applies where the essential characteristics of the shape ‘perform a technical function and were chosen to fulfil that function’.⁹⁸ The mere existence of other shapes that could achieve the same technical result is not of itself sufficient to overcome this ground for refusal.⁹⁹

p. 977 ↵ Further guidance on whether a shape is ‘attributable to a technical result’ has been provided in *Lego Juris*, in which the famous makers of LEGO bricks had registered an image of a red brick as a Community trade mark (CTM) for, among other things, ‘teaching apparatus’ in Class 8 and ‘games and playthings’ in Class 28 (see Fig. 36.6). In the context of an invalidation challenge by a competitor, the Cancellation Division had identified each of the brick’s important features (the bosses or studs on top, the secondary projections, the smooth sides, the hollow skirt, and overall shape) and attributed a particular technical function to each feature. This approach was confirmed in all subsequent appeals, up to and including the Court of Justice.¹⁰⁰ Following *Lego*, an EUIPO Board of Appeal has also provided more specific guidance: ‘the test is whether if the respective element was absent, the technical result would not be obtained, and if the respective element was altered substantially, the technical result would also alter substantially.’¹⁰¹ It appears that tribunals first identify the overall function of a product and then set about considering whether each essential characteristic contributes to that function.¹⁰²

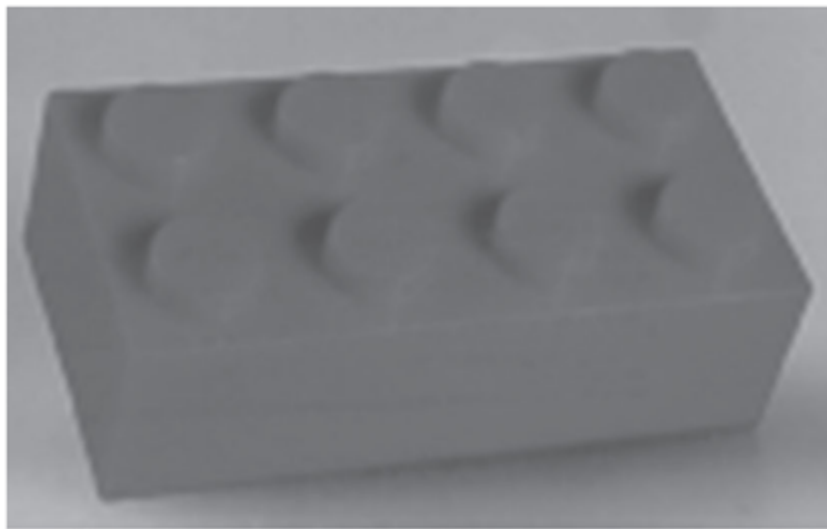


Fig. 36.6 LEGO Brick

Source: *Lego Juris v. OHIM*, Case C-48/09P [2010] ECR I-8403

(ii) *Reliance on prior patents?* To what extent is the existence of a prior patent relating to the same product considered to be a ‘smoking gun’, which confirms the technical nature of the shape being applied for? Prior patents are not dispositive but clearly relevant considerations when assessing whether the essential characteristics are necessary to produce a technical result.¹⁰³ Much will turn on the scope of the prior patent’s claims. Where the prior patent includes the features of the shape applied for as a trade mark to be the preferred embodiment of the invention, this generates a very strong presumption, or ‘practically irrefutable’ evidence, that those features are technical.¹⁰⁴ However, the existence of a prior patent has been considered irrelevant where the overall shape was found to be non-technical (although individual features of the shape had been reflected in the patent claims).¹⁰⁵

p. 978 **3.4 Where the Shape Gives Substantial Value to the Goods**

The third restriction placed on the types of shape that may be registered as trade marks is found in section 3(2)(c) of the 1994 Act.¹⁰⁶ These provide that a sign shall not be registered where it consists exclusively of a shape that gives substantial value to the goods.¹⁰⁷ The Court of Justice substantively addressed this exclusion in *Hauck*, which related to an application for the shape of a children's chair. The Advocate-General suggested that the teleological purpose of the provision is to establish a demarcation between the protection conferred by trade mark law and that conferred by industrial designs and copyright.¹⁰⁸ Its rationale is to 'prevent the monopolization of the external features of goods which do not perform a technical or practical function and at the same time substantially enhance the attractiveness of goods and strongly influence consumer preferences'.¹⁰⁹ Its coverage therefore extends beyond works of fine or applied art to cover even 'practical objects', where 'design is one of the fundamental elements which determine their attractiveness, and thus the market success of the goods concerned'.¹¹⁰ Aesthetic appeal is thereby translated into economic value. Adopting this line of reasoning, the Court of Justice rejected a narrow interpretation of this provision, which would have restricted its application to those products which are solely or primarily purchased on the basis of their aesthetic appeal, such as jewellery or sculptures.¹¹¹ The exclusion would also 'apply to a sign which consists exclusively of the shape of a product with several characteristics each of which may give that product substantial value'.¹¹² It would therefore apply to 'blended' shapes like the TRIP TRAPP chair, which appealed to consumers not only on the basis of its visual style but also on the basis of its safety, comfort, and reliability. Consequently, aesthetic appeal need not be the only or even primary basis for the product's appeal to consumers, so long as it is a significant factor.¹¹³

In a major doctrinal development, the Court of Justice has clarified in *Gömböc* that this policy exclusion applies to shapes which may not have aesthetic value, so long as they are otherwise attractive to consumers.¹¹⁴ The shape in question, a gömböc (Fig. 36.7) was the tangible embodiment of a mathematical symbol, as a three-dimensional, homogeneous convex body which had one point of stable equilibrium and one point of unstable (and therefore very delicate) equilibrium. Unlike many self-righting toys, the gömböc was not weighted at any one point and therefore required high manufacturing precision, to achieve the ability of righting itself when placed on a flat surface.



Fig. 36.7 The gömböc shape which returns to a point of stable equilibrium

Source: *Gömböc Kutató, Szolgáltató és Kereskedelmi Kft. v. Szellemi Tulajdon Nemzeti Hivatala*, Case C-237/19, EU:C:2020:296

p. 979 The aesthetic appeal of the shape was in contention. It had also been registered as a design and the mark was applied for decorative items, crystalware, and chinaware. ↵ However, the Court concluded that aesthetic attractiveness was not the only basis for substantial value.

[T]he shape which alone forms the sign is the tangible symbol of a mathematic discovery ... [and] that fact makes that shape special and striking ... The fact that such a characteristic does not, in itself, concern the aesthetic merits of the shape does not exclude the application of [the substantial value exclusion]. It should be borne in mind ... that the concept of a 'shape which gives substantial value to the goods' is not limited to the shape of goods having an exclusively artistic or ornamental value. The question as to whether the shape gives substantial value to the goods may be examined on the basis of other relevant factors, including, inter alia, whether the shape is dissimilar from other shapes in common use on the market concerned.¹¹⁵

Consequently, while eye appeal was not necessary, eye appeal counted. The Court further clarified the core of the test to be applied. The substantive value exclusion called for 'an objective analysis, intended to demonstrate that the shape in question, on account of its characteristics, has such a great influence on the attractiveness of the product that restricting the benefit of the shape to a single undertaking would distort the conditions of competition on the market concerned'.¹¹⁶ The evidence should objectively demonstrate 'that a consumer's decision to purchase the goods in question is, to a very great extent, determined by one or more features of the shape which alone forms the sign'.¹¹⁷ Characteristics unconnected to the shape, such as 'technical qualities or the reputation of the product are, on the other hand, irrelevant'.¹¹⁸

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Restated briefly, the objective is to assess whether the attractiveness of the shape is sufficiently substantial, in its own right, to determine to a large extent the commercial value of the product and a consumer's decision to purchase it.¹¹⁹ However a mismatch has arisen because the multi-factor test previously used to assess attractiveness was designed around the aesthetic attractiveness of the shape. The Court of Justice has stipulated that (i) alongside the relevant consuming public's perception of the shape of the product, additional criteria would include (ii) the nature of the category of goods (is visual appeal usually important for that category?), (iii) the artistic value of the shape in question, (iv) its dissimilarity from other shapes in common use on the market concerned, (v) a substantial price difference in relation to similar products, and (vi) the development of a promotion strategy which focuses on accentuating the aesthetic characteristics of the product in question.¹²⁰ Some of these factors will require rethinking after *Gömböc*. For example, (iii) may be better restated as an enquiry into the attractiveness of the shape. Its attractiveness is no longer restricted to artistic value. Under (iii), brand appeal which adds to its attractiveness does not count. Presumably, the functional appeal of the shape is excluded as well, with an eye to preserving the boundary between the substantial value and technical result grounds.

Bang & Olufsen conveniently illustrates the nature of evidence that can be provided under the existing headings.¹²¹ While consumer perception was not dispositive, for the category of high-end speakers, the slender, stylistic design of the speaker was clearly a motivating factor for consumer purchases. The manufacturer also emphasized that design as part of its branding efforts. Evidence from the trade—in the form of distributors and resellers—also suggested that 'the shape [was] perceived as a kind of pure, slender, timeless sculpture for music reproduction'. The fact that consumers also appreciated its other characteristics, such as technical sound quality, did not detract from the conclusion that its aesthetic value significantly added to its overall commercial value and appeal.¹²² Subsequently, Arnold J applied the *Hauck* criteria in a dispute relating to the shape of a London taxi.¹²³ He made two important preliminary clarifications. First, the shape should add *substantial* aesthetic value (in a sense relevant for design law) and therefore 'goodwill derived from sales and advertising is not relevant'. Brand value did not count. Second, a relevant (but not sufficient) indicator of *substantiality* would be to compare the shape in question with the shapes of equivalent articles.¹²⁴ A systematic analysis of the evidence in accordance with criteria (i)–(vi) listed earlier led to the conclusion that the shape added substantial value. Arnold J observed that in seeking both registered trade mark and design protection for the shape, the mark would also offend the underlying policy of preventing a finite, 25-year design monopoly from being indefinitely extended via trade mark law.¹²⁵

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(i) *Is design protection relevant?* This exclusion exists to prevent the impermissible 'life extension' of other IP rights, such as copyright or design protection, since trade mark protection is indefinitely renewable.¹²⁶ Design protection relating to the same shape is therefore clearly relevant. Nevertheless, the Court of Justice clarified in *Gömböc* that not all applications for marks which are also protected as designs, or relate to decorative objects, will be systematically excluded. The Court emphasized that the coexistence of several forms of legal protection is not prevented in general. Design protection is premised on the subsistence requirements of novelty and individual character, which emphasizes the overall impression created on the informed user, when judged against the backdrop of a relevant corpus of designs.¹²⁷ This differs from the distinctiveness analysis required by trade mark law, while the policy exclusion for substantial value hinges specifically on the attractiveness of the shape. A shape may have sufficient individual character to qualify as a design, but the design appeal 'may result from factors other than its shape, such as, inter alia, the story of its

creation, its method of production, whether industrial or artisanal, the materials that it contains, which may be rare or precious, or even the identity of its designer'.¹²⁸ Since all these forms of design appeal do not trigger the policy exclusion, the mere existence of previous or concurrent design protection is not a fatal taint. Consequently, the exclusion 'must not be applied systematically to a sign which consists exclusively of the shape of the product where that sign enjoys protection under the law relating to designs or where the sign consists exclusively of the shape of a decorative item'.¹²⁹

(ii) *What is excluded from 'substantial value'?* The EUIPO has clarified that not any shape which is pleasing or attractive will be caught by the exclusion, 'given that in modern business there is no product of industrial utility that has not been the subject of study, research and industrial design before its eventual launch on the market'.¹³⁰ Therefore 'substantial' seems to have significance in this regard. Additionally, if a shape is attractive to consumers on the basis of reputation or brand appeal, the exclusion is inapplicable.¹³¹ However, where a shape has both aesthetic and brand appeal, the exclusion will still apply.¹³²

4 Capable of Being Represented

The second General hurdle that must be met for a trade mark to be validly registered under section 1(1)(a) of the 1994 Act is that the sign must be capable of being represented adequately. This requirement was discussed in the previous chapter.¹³³

5 Capacity to Distinguish

The third and final hurdle that must be met for a trade mark to be validly registered under section 1(1) is that the sign must be 'capable of distinguishing the goods or services of one undertaking from the goods or services of another'. Corresponding to this, section 3(1)(a) provides that failure to comply with any of the requirements of section 1(1) is one of the absolute grounds under which a sign will not be registered.

p. 982 Following the passage of the Trade Marks Act 1994,¹³⁴ the British courts spent a great deal of effort trying to define 'capacity to distinguish' in a way that would both give it meaning and avoid it undermining the other substantive requirements relating to distinctiveness (which we examine in the next chapter). In particular, the courts sought to make sense of the inter-relationship between the requirement that a sign be 'capable of distinguishing' and the exclusion in section 3(1)(b) relating to marks that are 'devoid of distinctive character'. The goal was to resolve the seeming conundrum raised by the statute, which seemed to presuppose the possibility of a sign that was simultaneously 'capable of distinguishing' and 'devoid of distinctive character'. The judicial efforts produced a series of inconsistent decisions and impossible tests.¹³⁵ Thankfully, in *Philips v. Remington*,¹³⁶ the Court of Justice made it clear that these efforts were unnecessary.

As already noted, Remington challenged Philips' registration of the shape of a three-headed electrical razor. The Court of Appeal held that the requirement that a sign be 'capable of distinguishing' the goods of one trader from those of another was a preliminary requirement.¹³⁷ As such, the Court needed to consider this matter before examining whether the mark was 'devoid of distinctive character'. On the facts, the Court of Appeal held that the three-headed rotary shaver failed the test. This was because the Court considered that a

sign needed to have some ‘capricious addition’—and not be purely functional—in order to render it capable of distinguishing. A sign with such a capricious alteration could pass the first step (that is, be capable of distinguishing in principle), but fail the second (that is, be devoid of distinctive character on the actual evidence).

The Court of Justice held that there was no ‘capricious alteration’ test in European law.¹³⁸ It also made it clear that if a sign was, in fact, distinctive (either by nature or by use), then it would be treated by definition as ‘capable of distinguishing’ the goods of one undertaking from those of others.¹³⁹ More specifically:

[T]here is no category of marks which is not excluded from registration by Article 3(1)(b), (c), and (d) and Article 3(3) [of the TMD 1989 implemented as section 3(1)(b) to (d) and the proviso to these provisions within the Trade Marks Act 1994] on the ground that such marks are incapable of distinguishing the goods of the proprietor of the mark from those of other undertakings.¹⁴⁰

The Court of Justice suggested that Articles 2 and 3(1)(a)–(d) of the TMD 1989 needed to be ‘read together’. Each provides flavour to the other. Article 3(1)(a) ‘is intended essentially to exclude from registration signs which are not generally capable of being a trade mark’.¹⁴¹ In this respect, it is ‘like the rule laid down by Article 3(1)(b), (c), (d)’.¹⁴² The three specific exclusions are elaborations of the basic requirement of capacity to distinguish. If a mark is devoid of distinctive character, it lacks capacity to distinguish; if a sign is descriptive, it lacks capacity to distinguish, and so forth. But Article 3(1)(a) does not ‘constitute a separate ground for refusing registration in connection with lack of distinctiveness’.¹⁴³ ↵ In effect, Article 3(1)(a) was reduced to testing whether the ‘sign’ and ‘representation’ requirements were met. Considering this background, it is all the more remarkable that the lack of a capacity to distinguish under section 3(1)(a) was recently the basis for successfully invalidating a colour-and-shape mark, consisting of the colour red applied to the surface of Mini Babybel cheese wheels.¹⁴⁴ HHJ Hacon found that the trade mark could be capable of distinguishing the cheese of the applicant from those of other undertakings only if a particular hue of red used on the main body of the product was associated with the applicant’s cheese. The mark therefore had to be limited to a single hue of red, to be capable of distinguishing. It remains to be seen whether this will lead to a resurgence of this absolute ground in the United Kingdom.

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6 Protection of Service Marks for Retail Services and Comparison Websites

Service marks—that is, signs that are used in connection with the provision of services—first became registrable in the United Kingdom as a result of the Trade Marks (Amendment) Act 1984. Service marks are treated in the same way as trade marks by the 1994 Act. This enables the providers of professional, financial, commercial, or personal services to obtain the same statutory protection for their goodwill as is given to the manufacturers and sellers of goods.

Although not listed in the Nice System of Classification, it is now clear that the registration of marks for ‘retail services’ is acceptable. In *Praktiker Bau- und Heimwerkermärkte AG*,¹⁴⁵ the applicant had sought to register ‘Praktiker’ in Germany for ‘retail trade in building, home improvement and gardening goods for the

do-it-yourself sector'. The German Federal Patent Court (*Bundespatentgericht*) referred various questions to the Court of Justice relating to registration for retail services. The Court held that there was nothing in the Trade Marks Directive that required the concept of 'services' to be restrictively defined and noted that retail trade included the selection of goods, as well as the provision of services 'aimed at inducing the consumer to conclude transactions with the trader rather than a competitor'.¹⁴⁶ The Court stated that objections to such registration being of undue breadth could largely be accommodated by judicious application of the 'global assessment' of likelihood of confusion in relation to relative grounds for refusal or infringement. Consequently, a specification would be acceptable in principle if it were to use general words such as 'bringing together a variety of goods, enabling customers to conveniently view and purchase those goods' as long as the goods or type of goods to which the service related were specified.

p. 984 A similar issue arises in relation to price-comparison websites which list retailers selling the same goods or services and indicate their different prices or offers. In *Netto Marken-Discount AG*,¹⁴⁷ the Court of Justice, following *Praktiker*, accepted that it was possible to register a mark in relation to comparison services but the specification must be formulated to allow others to know which services were being brought together and compared (e.g. 'bringing together pricing information on insurance services').

7 Collective And Certification Marks

United Kingdom trade mark law additionally recognizes two forms of collectively used or 'group' marks, which may be used by persons other than the proprietor of the mark, if they satisfy certain conditions.¹⁴⁸ A collective mark is one which distinguishes 'the goods or services of members of the association which is the proprietor of the mark from those of other undertakings'.¹⁴⁹ It indicates that the trader using such a mark is a member of a 'club' or association. This membership helps to distinguish the products of that trader from those of other non-members and an example would be the mark BIID REGISTERED INTERIOR DESIGNER.¹⁵⁰ In contrast, a certification mark indicates that 'the goods or services in connection with which it is used are certified by the proprietor of the mark in respect of origin, material, mode of manufacture of goods or performance of services, quality, accuracy or other characteristics'.¹⁵¹ The proprietor of the mark certifies that the products of those using it possess a specific characteristic. Examples that may be familiar include STILTON¹⁵² and the KITEMARK logo.¹⁵³ As the first of these suggests, certification or even collective marks can also be used to protect geographical indications (GIs).¹⁵⁴

Unlike individual trade marks, collective and certification marks pass through two stages of examination. There is the initial examination of the application itself, where the mark is assessed against (slightly modified) absolute and relative grounds. Next, the Registry reviews the regulations that govern the use of both types of marks. The Trade Marks Act 1994 contains specific provisions in relation to collective marks in Schedule 1. An applicant is required to file regulations which specify, inter alia, 'the persons authorised to use the mark, the conditions of membership of the association and, where they exist, the conditions of use of the mark, including any sanctions against misuse'.¹⁵⁵ Schedule 2 sets out the equivalent requirements for certification marks. These include an 'arm's length' condition—the proprietor cannot carry on a business in relation to the products which are being certified¹⁵⁶—and the need to file regulations setting out 'who is authorised to use the mark, the characteristics to be certified by the mark, how the certifying body is to test those characteristics and to supervise the use of the mark, the fees (if any) to be paid in connection with the

p. 985 operation of the mark and the procedures for resolving disputes'.¹⁵⁷ Issues specific to such marks include the modified distinctiveness test that applies to collective and certification marks, the (legal) nature of associations which can own such marks, grounds for revocation and infringement, as well as the extent to which such marks offer legally binding guarantees to consumers.¹⁵⁸ While both marks accommodate groups of users and the governing regulations need to be publicly accessible, collective marks may be seen as relatively more discretionary; certification marks may be used by anyone who complies with the certification specifications.¹⁵⁹

At the EU level both types of marks are recognized in the TMD 2015.¹⁶⁰ The former CTM regime recognized collective marks and this has continued into the new EUTM system.¹⁶¹ However the accommodation of certification marks within the EUTM system is a new development.¹⁶² Curiously, certification marks which certify a product's geographical origin cannot be accepted as EUTMs,¹⁶³ although national certification marks, national collective marks, or collective EUTMs which verify geographical origin (e.g. as a condition of association membership) can all be registered. Geographical indications are therefore selectively, albeit inexplicably, excluded from being registered as certification marks under the EUTMR and so those seeking to protect GIs in the EU need to be aware of this oddity and will need to resort to collective EUTMs instead.

While both collective marks and certification (or guarantee or standardization) marks have a respectable vintage,¹⁶⁴ the integration of such marks within a system designed primarily around individual marks has been partial. The Court of Justice emphasized the functional differences between individual and 'group' marks, on a reference where the proprietor of an individual trade mark was licensing it on the basis that it functioned as a mark of quality in the cotton textiles sector.¹⁶⁵ In other words, the proprietor was using conventional trade mark licensing to indirectly approximate product certification. In the context of a revocation challenge to an EUTM—as a counterclaim to infringement proceedings—the Court was asked whether the mark had been put to 'genuine use'. It concluded that for a mark to be able to fulfil 'its essential role [or function] in the system of undistorted competition [in the internal market] it must offer a guarantee that all the goods or services bearing it have been manufactured or supplied under the control of a single undertaking which is responsible for their quality'.¹⁶⁶ While 'group' marks might guarantee quality without guaranteeing a single commercial source for the products being certified, individual trade marks could not discard the essential origin requirement. The mark was not being used to indicate a single commercial source for the products on which it appeared. Such use was therefore unlikely to sustain the EUTM registration.

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As a result of this fundamental difference—'group' marks cannot be distinctive in the same way as individual trade marks, because they are used by multiple and otherwise unrelated traders—the scope of protection for such marks risks being diminished.¹⁶⁷ Distinctiveness is one of the regulatory devices for enhancing the scope of protection of a mark. If certification or collective marks with multiple users are considered 'weakly distinctive' in the classical trade mark sense, proprietors or legitimate users will find enforcement challenging.¹⁶⁸ This enforcement challenge is illustrated by a dispute concerning an application for a figurative mark for HADJU HALLOUMI, which was unsuccessfully opposed by the Cypriot EUTM proprietors of the collective mark HALLOUMI before the trade mark Registry.¹⁶⁹ The hearing officer held that the distinctiveness of the collective EUTM was inherently weak, since it indicated a type of cheese. This mitigated against a finding of confusion. On appeal, it was successfully argued before the High Court that once a more

specialist public—namely, trade purchasers such as supermarkets—was taken into account, HALLOUMI would have a more specific meaning, as the equivalent of a ‘house mark’ for cheese from Cyprus. There was a real risk that the trade would mistakenly assume the applicant was a member of the Halloumi Foundation and entitled to use the mark when this was not actually the case.¹⁷⁰

Despite these limitations, such marks are growing in importance and visibility. With the increasing privatization of regulatory functions and the adoption of private governance models in market sectors, trade mark law has the potential to empower consumers by providing reliable, objective information facilitating their choices about where products come from, how they are made, and the values to which a manufacturer is willing to commit. Certification and collective marks are increasingly relevant in this context.¹⁷¹

Notes

¹ See Chapter 37.

² See Chapter 38.

³ The current definition of what constitutes a trade mark is to be contrasted with the restrictive definition formerly found in TMA 1938, s. 68.

⁴ In response to a reference from Germany, the Court has held that the concept of ‘a sign’ can encompass the appearance of a shop that offers retail services on the basis that it is represented as a design or figurative drawing: *Apple v. German Patent Office*, Case C-421/13, EU:C:2014:2070, [2014] *RPC* (14) 409. The issue of whether any given Apple store-in-reality varies from the store-as-represented seems to have been relocated from representation to distinctiveness (i.e. if the sign is stable enough to be distinctive).

⁵ *Ralf Sieckmann v. Deutsches Patent-und Markenamt*, Case C-273/00 [2002] *ECR* I-11737, [43]–[44]; *Shield Mark BV v. Joost Kist*, Case C-283/01, [2003] *ECR* I-14313. However, some of these categories of non-conventional marks stumble at the representation requirement. See Chapter 35, section 2.1.3.

⁶ WIPO, ‘New Types of Marks’, 1 September 2006 (SCT/16/2), [3].

⁷ Q. Zhan, ‘The International Registration of Non-Traditional Trademarks: Compliance with the TRIPS Agreement and the Paris Convention’ (2017) 16 *World Trade Rev* 111, 112.

⁸ B. Soars, ‘Driving Sales through Shoppers’ Sense of Sound, Sight, Smell and Touch’ (2009) 37 *Int J of Retail & Distribution Management* 286; C. Spence et al., ‘Store Atmospherics: A Multisensory Perspective’ (2014) 31 *Psychol Mark* 472.

⁹ G. Dinwoodie, ‘Reconceptualising the Inherent Distinctiveness of Product Design Trade Dress’ (1997) 75(2) *NC L Rev* 471, 561.

¹⁰ Those advocating caution include: B. Elias, ‘Do Scents Signify Source? An Argument against Trade Mark Protection for Fragrances’ (1992) 82 *TM Rep* 475; A. Bartow, ‘True Colors of Trademark Law: Greenlighting a Red Tide of Anti Competition Blues’ (2008–2009) 2 *KLJ* 263; A. Gilson LaLonde and J. Gilson, ‘Getting Real with Nontraditional Trademarks: What’s Next after Red Oven Knobs, the Sound of Burning Methamphetamine, and Goats on a Grass

Roof' (2011) 101 *TM Rep* 186; K. Port, 'On Nontraditional Trademarks' (2011) 38 *N Ky Law Rev* 1; G. Lea, 'Special Marks: After 20 years, not so Special After All?' (2015) 20 *Comms L* 40. See generally the contributions in Calboli and Senftleben.

¹¹ *Heidelberger Bauchemie*, Case C-49/02 [2004] *ECR I*-6129. Similar remarks had been made in *Libertel Groep BV v. Benelux-Merkenbureau*, Case C-104/01 [2003] *ECR I*-3793, [27].

¹² Case C-321/03 [2007] *ECR I*-687. A photograph of the bin can be seen in the case report and also in Chapter 30, Fig. 30.3, p. 831.

¹³ *Ibid.* The Advocate-General seems to provide a test for determining whether the application relates to an abstract mental concept (at [AG53]–[AG54]): while a sign can be perceived by one of the five physical senses, a concept is only conceived by the mind.

¹⁴ *Ibid.*, [37]–[40]. The general proposition that an abstract concept cannot be claimed as a sign has been subsequently confirmed in *Schunk GmbH v. OHIM*, Case T-7/09, EU:T:2010 153, [25].

¹⁵ See Chapter 35, section 2.1.3.

¹⁶ *Société des Produits Nestlé SA v. Cadbury UK Ltd* [2013] *EWCA Civ* 1174, [2015] *RPC* (7) 202 rev'g [2012] *EWCA Civ* 1175, [2014] *FSR* (14) 266, [32].

¹⁷ *JW Spear & Son Ltd, Mattel Inc. v. Zynga Inc.* [2012] *EWCA Civ* 1175, [2014] *FSR* (14) 266, [32].

¹⁸ *Société des Produits Nestlé SA v. Cadbury UK Ltd* [2013] *EWCA Civ* 1174, [2015] *RPC* (7) 202, [51].

¹⁹ *Koninklijke Philips Electronics NV v. Remington Consumer Products*, Case 299/99 [2002] *ECR I*-5475. But this description did not preclude the OHIM from rejecting an application on this basis after it had already reviewed distinctiveness: *Bang & Olufsen v. OHIM*, Case T-508/08 [2011] *ECR II*-6975, [40].

²⁰ *Koninklijke Philips Electronics NV v. Remington Consumer Products*, Case 299/99 [2002] *ECR I*-5475, [2002] 2 *CMLR* 5.

²¹ *Ibid.*, [78].

²² *Ibid.*, [AG16] (AG Colomer); *Hauck GmbH & Co. KG v. Stokke A/S*, Case C-205/13, EU:C:2014:2233, [2014] *ETMR* (60) 1215, [18]; *Gömböc Kutató, Szolgáltató és Kereskedelmi Kft. v. Szellemi Tulajdon Nemzeti Hivatala*, Case C-237/19, EU:C:2020:296, [2020] *FSR* (34) 920, [25].

²³ *Lego Juris A/S v. OHIM*, Case C-48/09P [2010] *ECR I*-8403, [45]–[46].

²⁴ *Hauck*, Case C-205/13, EU:C:2014:2233, [2014] *ETMR* (60) 1215, [19].

²⁵ *Hauck*, Case C-205/13, EU:C:2014:322, [AG25]–[AG40] (AG Szpunar).

²⁶ *Hauck*, Case C-205/13, EU:C:2014:2233, [2014] *ETMR* (60) 1215, [20].

²⁷ However, the Court of Justice has taken a clear position that these 'functionality' exclusions exist to *channel* subject matter that is a better fit within other IP regimes to those regimes, as opposed to asking whether competitors *need* to access these features. The difference between these two positions matters in relation to the existence of alternatives. The CJEU confirmed in *Philips* and *Lego* that the existence of alternative (technical) shapes did not allow trade mark applicants to escape from the exclusions. Where the shape was causally determined by technical considerations, it was better housed within patent law. By contrast, the existence of alternatives would be a relevant consideration if the test was primarily focused on a real *competitive necessity* to access the feature. See I. Fhima, 'Technical

Functionality in European Trade Mark law' (2021) 137 *LQR* 113. In the United States, there is less clarity about whether the equivalent exclusion creates a 'right to copy' (under the channelling approach, if there is no patent protection or patent protection expires) or requires proof of a 'need to copy' (where competitive necessity must be established and the existence of alternatives matters): M. McKenna, '(Dys)Functionality' (2011) 48 *Hous L Rev* 823.

²⁸ *Henkel's Application*, Case C-218/01 [2004] *ECR I*-1725, [35], [37].

²⁹ *Storck v. OHIM*, Case C-25/05P [2006] *ECR I*-5739, 5755, [29] (case law on shapes was deemed equally applicable to application to register a two-dimensional image of sweets).

³⁰ *Yoshida Metal v. OHIM*, Case T-416/10, EU:T:2012:222, aff'd *Pi-Design AG v. Yoshida*, Cases C-337/12P-340/12P, EU:C:2014:129, [2014] *ETMR* (32) 650.

³¹ *Yoshida v. OHIM*, Case T-416/10, EU:T:2012:222, [24].

³² Especially where it is a tactical move to repackage a three-dimensional mark as a two-dimensional or figurative representation, in order to escape the more rigorous scrutiny reserved for the former: D. Gangjee, 'Paying the Price for Admission: Non-Traditional Marks across Registration and Enforcement', in Calboli and Senftleben (2018).

³³ *Pi-Design AG v. Yoshida*, Cases C-337/12P-340/12P [2014] *ETMR* 32, [54]-[58].

³⁴ *Ibid.*, [60]-[61].

³⁵ *Christian Louboutin v. Van Haren Schoenen BV*, Case C-163/16, EU:C:2018:423, [21] (CJEU, Grand Chamber). See also *Vinicola Tombacco Srl v. EUIPO, Sandro Bottega*, Case T-324/18, EU:T:2019:297 (a sign was not merely a shape when it consisted of the colour gold applied to a sparkling wine bottle shape).

³⁶ Cf. *Christian Louboutin v. Van Haren Schoenen BV*, Case C-163/16, EU:C:2017:495. Advocate-General Szpunar held that these policy exclusions—then only applicable to shapes—applied to marks consisting of combinations of colours and shapes. He alternatively characterized the mark as seeking protection for a colour in relation to a shape, rather than one consisting of a colour per se. The Court did not agree with this characterization.

³⁷ *EUIPO Examination Guidelines*, Part B, Section 4, Chapter 6, [2] ('Shape or Other Characteristics Resulting from the Nature of the Goods').

³⁸ *Louboutin v. Van Haren Schoenen BV*, Case C-163/16, EU:C:2018:423 (CJEU, Grand Chamber). Cf. In his second Opinion in the same dispute, AG Szpunar engaged more closely with the question of whether a colour in the fashion sector may lack enduring appeal, since consumer tastes change over time, such that the anticompetitive monopoly concerns underlying these exclusions are not triggered. He concluded that any such assessment of substantial value was not restricted to consumer perception but also had to consider the economic effects of reserving that sign for a single trader. *Christian Louboutin v. Van Haren Schoenen BV*, Case C-163/16, EU:C:2018:64, [43]-[55].

³⁹ *Textilis Ltd and Ozgur Keskin v. Svenskt Tenn Aktiebolag*, Case C-21/18, EU:C:2019:199.

⁴⁰ *Vinicola Tombacco Srl v. EUIPO, Sandro Bottega*, Case T-324/18, EU:T:2019:297 (the mark consisted of a golden 'Collio' bottle used for Prosecco).

⁴¹ Pattern marks usually consist of series of elements (letters, geometric shapes) that are repeated regularly and can be extended ad infinitum in all directions. They have been previously rejected on the basis of lacking distinctiveness. See *Louis Vuitton Malletier v. OHIM, Nanu-Nana Handelsgesellschaft mbH*, Case T-359/12, EU:T:2015:215. However, s. 3(2), if applicable, will now override even acquired distinctiveness arguments for such marks.

⁴² *Textilis Ltd and Ozgur Keskin v. Svenskt Tenn Aktiebolag*, Case C-21/18, EU:C:2019:199, [29]–[33].

⁴³ *Lego Juris v. OHIM*, Case C-48/09P [2010] ECR I–8403 (Grand Chamber).

⁴⁴ *Ibid.*, [52]. See *Koninklijke KPN Nederland NV v. Benelux-Merkenbureaus*, Case C-363/99 [2004] ECR I–1619, [2005] 2 CMLR (10) 184, 209, [AG70]–[AG74]; *DKV Deutsche Krankenversicherung v. OHIM*, Case C-104/00P [2002] ECR I–7561, [AG51]–[AG54].

⁴⁵ *Lego Juris v. OHIM*, Case C-48/09P [2010] ECR I–8403, [54] (referring to a ‘major non-functional element, such as a decorative or imaginative element which plays an important role in the shape’; Lego unsuccessfully argued that since it had applied for the shape of a red toy brick as a mark, the colour red—from the perspective of the relevant consumer—would be a distinctive and dominant, yet non-technical, element, allowing it to escape the ‘technical result’ exclusion).

⁴⁶ For a successful attempt at combining a logo with a shape, see *Lidl Stiftung & Co. KG v. Crocs Inc.*, R 3021/2014–5 (OHIM, Fifth BoA) (crocs shoes with crocodile logo). For an unsuccessful attempt at adding a visually insignificant word mark to a shape, see *Flamagas, SA v. EUIPO, MatMind Srl*, Case T-580/15, EU:T:2017:433 (CLIPPER on a lighter).

⁴⁷ *Lego Juris v. OHIM*, Case C-48/09P [2010] ECR I–8403, [68].

⁴⁸ *Ibid.*, [69].

⁴⁹ See *Reddig v. OHIM*, Case T-164/11, EU:T:2012:443.

⁵⁰ *Lego Juris v. OHIM*, Case C-48/09P [2010] ECR I–84, [70].

⁵¹ *Ibid.*, [71].

⁵² *Ibid.*, [75]–[76].

⁵³ *Hauck GmbH & Co. KG v. Stokke A/S*, Case C-205/13, EU:C:2014:322, [AG90]–[AG95] (AG Szpunar); [2014] ETMR 60, [34] (CJEU).

⁵⁴ *Gömböc Kutató, Szolgáltató és Kereskedelmi Kft. v. Szellemi Tulajdon Nemzeti Hivatala*, Case C-237/19, EU:C:2020:296, [2020] FSR (34) 920. (The reference asked whether a registry was restricted to the sign’s graphical representation when assessing policy exclusions. The representation only showed one side of a homogeneous self-righting shape, which always returns to its position of balance (see Fig. 36.7). This static depiction did not sufficiently reveal its technical ability to return to a stable equilibrium. However, Hungarian consumers were aware of this self-righting ability, so could their perception inform the technical result analysis?)

⁵⁵ *Ibid.*, [31]–[37].

⁵⁶ *Ibid.*, [38]–[47].

⁵⁷ *Rubil’s Brand Ltd v. EUIPO, Simba Toys GmbH*, Case T-601/17, EU:T:2019:765, [49], [84]; *aff’d* Case C-936/19 P, EU:C:2020:286; *Fromageries Bel SA v. J Sainsbury plc* [2019] EWHC 3454 (Ch), [2020] RPC (3) 85, [40]–[54] (Hacon J) (reviewing the approach to the first stage).

⁵⁸ *Novartis AG v. EUIPO*, Case T-44/16, EU:T:2018:48.

⁵⁹ *Roxtec AB v. EUIPO, Wallmax Srl*, Case T-261/18, EU:T:2019:674; *aff’d* Case C-893/19 P, EU:C:2020:209.

⁶⁰ *Simba Toys GmbH v. EUIPO*, Case C-30/15P, EU:C:2016:849, [42]–[48]. *Gömböc Kutató, Szolgáltató és Kereskedelmi Kft. v. Szellemi Tulajdon Nemzeti Hivatala*, Case C-237/19, EU:C:2020:296, [2020] ETMR 41, [33].

⁶¹ There may be an element of circularity to this approach, if a registry is permitted to cherry pick the features which will satisfy its intuition that the shape ought to be excluded: *Fromageries Bel SA v. J Sainsbury plc* [2019] EWHC 3454 (Ch), [2020] RPC (3) 85, [53]–[54] (Hacon J). However, bearing in mind the public policy objectives underpinning the exclusions, giving registries such discretion can be justified.

⁶² *Roxtec AB v. EUIPO, Wallmax Srl*, Case T-261/18, EU:T:2019:674, [77].

⁶³ *Hauck GmbH & Co. KG v. Stokke A/S*, Case C-205/13, EU:C:2014:2233, [2014] ETMR (60) 1215, [39]–[41] (design for the TRIPP-TRAPP chair).

⁶⁴ *Société des Produits Nestlé SA v. Cadbury UK Ltd*, Case C-215/14 [2015] ETMR 50, [45]–[51]; cf. [2014] EWHC 16 (Ch), [68]–[71], [75] (Arnold J).

⁶⁵ Cf. *Tecnodidattica SpA v. EUIPO*, Case T-752/18, EU:T:2020:130, [41]–[44] (shape of a base for globes and lamps found to contain no sufficiently essential decorative or imaginative elements).

⁶⁶ *Flamagas, SA v. EUIPO*, Case T-590/15, EU:T:2017:433 (the shape of a cigarette lighter was technical and the inclusion of a word mark element, CLIPPER, was too small and imperceptible in the representation to constitute a non-technical essential characteristic).

⁶⁷ *Lego Juris v. OHIM*, Case C-48/09P [2010] ECR I-8403, [72] (the Court assumes that if an ‘important’ part of the sign were functional, another trader’s use of merely the functional element would not be use of a similar mark. It implies that the scope of protection is reduced for the purposes of infringement analysis).

⁶⁸ D. Gangjee, ‘Paying the Price for Admission’, in Calboli and Senftleben (2018), 83–8.

⁶⁹ It might be said that such features are inherently non-distinctive, such that the new extension of the descriptiveness exception, to allow for use of non-distinctive elements of a registered mark, would offer a defence. See Chapter 41, section 4.2 pp. 1157–8.

⁷⁰ US Trademark Act of 1946, §33(b)(8), 15 USC §1115(b)(8).

⁷¹ *Benetton v. G-Star*, Case C-371/06 [2007] ECR I-7709. See also *Yoshida Metal v. EUIPO, Pi-Design*, Case C-421/15P, EU:C:2017:360, [34].

⁷² G. Dinwoodie, ‘The Death of Ontology: A Teleological Approach to Trademark Law’ (1999) 84 *Iowa L Rev* 611 (arguing that courts ‘should explore the possibility of conditioning a defendant’s right to copy a functional design on compliance with labelling or other requirements that minimize consumer confusion’).

⁷³ See Chapter 32, section 2.1.2; Chapter 33, section 4.5.2. Indeed, the Court in *Lego Juris v. OHIM*, Case C-48/09P [2010] ECR I-8403, [61], seems to hint that unfair competition rules might operate to prevent ‘slavish imitation’.

⁷⁴ EUTMR, Art. 7(1)(e)(i); TMD 2015, Art. 4(1)(e)(i) (extending beyond shapes to other characteristics).

⁷⁵ *Hauck GmbH & Co. KG v. Stokke A/S*, Case C-205/13, EU:C:2014:2233, [2014] ETMR (60) 1215, [24]–[25].

⁷⁶ *Hauck GmbH & Co. KG v. Stokke A/S*, Case C-205/13, EU:C:2014:322, [AG49]–[AG63] (AG Szpunar) (however, the creative expression of an otherwise functional element—such as a stylized guitar shape which departs from the standard template of a guitar shape—would result in the exclusion not applying [AG64]).

- ⁷⁷ Ibid., [AG45]. For similar reasoning, where the existence of alternatives does not disable the exclusion, see *Société de Produits Nestlé SA v. Cadbury UK Ltd*, O/257/13 (20 June 2013) (A. James); [2014] EWHC 16 (Ch), [28], [30] (Arnold J). Cf. *Philips v. Remington* [1999] RPC 809 (CA), 820; *Société de Produits Nestlé SA v. Unilever plc* [2003] ETMR (53) 681, 688, [14]–[15].
- ⁷⁸ *Vinicola Tombacco Srl v. EUIPO, Sandro Bottega*, Case T-324/18, EU:T:2019:297, [46]–[49].
- ⁷⁹ *Hauck GmbH & Co. KG v. Stokke A/S*, Case C-205/13, EU:C:2014:322, [AG27]–[AG28]; aff'd by the CJEU, [17]–[20].
- ⁸⁰ *Philips v. Remington* [1998] RPC 283 (Pat).
- ⁸¹ *Philips Electronics NV v. Remington Consumer Products* [1999] RPC 809 (CA).
- ⁸² *Philips v. Remington* [1998] RPC 283 (Pat), 305.
- ⁸³ *Philips Electronics NV v. Remington Consumer Products* [1999] RPC 809 (CA), 820.
- ⁸⁴ *Best-Lock (Europe) Ltd v. Lego Juris A/S*, R 1695/2013–4 (OHIM, Fourth BoA).
- ⁸⁵ *Best-Lock (Europe) Ltd v. OHIM, Lego Juris A/S*, Case T-395/14, EU:T:2015:380, aff'd Case C-451/15P, EU:C:2016:269.
- ⁸⁶ *Simba Toys GmbH v. EUIPO*, Case C-30/15P, EU:C:2016:350, [46] (AG Szpunar) (the appellant would have to establish that the General Court distorted the facts or evidence).
- ⁸⁷ Ibid., [AG36]–[AG50].
- ⁸⁸ EUTMR, Art. 7(1)(e)(ii); TMD 2015, Art. 4(1)(e)(ii) (extending beyond shapes to other characteristics).
- ⁸⁹ *Koninklijke Philips v. Remington*, Case 299/99 [2002] ECR I–5475, [78]; *Lego Juris v. OHIM*, Case C-48/09P [2010] ECR I–8403, [43].
- ⁹⁰ *Koninklijke Philips v. Remington*, Case 299/99 [2002] ECR I–5475, [82]; *Lego Juris v. OHIM*, Case C-48/09P [2010] ECR I–8403, [45]–[46].
- ⁹¹ *Yoshida Metal Industry Co. v. OHIM, Pi-Design*, Cases T-331/10 RENV and T-416/10 RENV, EU:T:2015:302, [59] ('It must moreover be noted that Article 7(1)(e)(ii) ... is aimed at protecting the shape of goods which is necessary to obtain a technical result, and not only the innovative technical results that may be patented').
- ⁹² *Yoshida Metal v. EUIPO, Pi-Design*, Case C-421/15P, EU:C:2017:360, [26] (as opposed to merely functional shapes, by 'the terms "exclusively" and "necessary", [Art. 7(1)(e)(ii)] ensures that solely shapes of goods which only incorporate a technical solution, and whose registration as a trade mark would therefore actually impede the use of that technical solution by other undertakings, are not to be registered'). However, merely functional shapes which approximate the generic template may now be excluded under s. 3(2)(a).
- ⁹³ EUIPO *Examination Guidelines*, Part B, Section 4, Chapter 6, [3] ('Shape or Other Characteristics of Goods Necessary to Obtain a Technical Result').
- ⁹⁴ *Société des Produits Nestlé SA v. Cadbury UK Ltd*, Case C-215/14, EU:C:2015:395, [AG72]–[AG78]; agreeing with [2014] EWHC 16 (Ch), [68], [72] (Arnold J).
- ⁹⁵ *Société des Produits Nestlé SA v. Cadbury UK Ltd*, Case C-215/14 [2015] ETMR 50, [52]–[57].
- ⁹⁶ *Philips v. Remington* [1998] RPC 283 (Pat).
- ⁹⁷ *Philips Electronics NV v. Remington Consumer Products* [1999] RPC 809 (CA).

⁹⁸ *Koninklijke Philips v. Remington*, Case 299/99 [2002] ECR I-5475, [80].

⁹⁹ *Ibid.*, [81].

¹⁰⁰ *Lego Juris v. OHIM, Mega Brands*, R 856/2004-G [2007] ETMR 11(OHIM, GBoA), [54]; Case T-270/06 [2009] ETMR 15, [39], [70]–[75]; Case C-48/09P [2010] ECR I-8403, [72]–[74].

¹⁰¹ *L&D v. Julius Sämann Ltd*, R 1283/2013-4 (OHIM, Fourth BoA), [36].

¹⁰² I. Fhima, ‘Functionality in Europe: When Do Trade Marks Achieve a Technical Result?’ (2020) 110 *TM Rep* 659.

¹⁰³ *Lego Juris v. OHIM, Mega Brands*, Case C-48/09P [2010] ECR I-8403, [85]; *Yoshida Metal Industry Co. v. OHIM, Pi-Design*, Cases T-331/10 RENV and 416/10 RENV, EU:T:2015:302, [54]–[59].

¹⁰⁴ *Lego Juris v. OHIM, Mega Brands*, R 856/2004-G [2007] ETMR 11, [8], [40], [47] (OHIM, GBoA). See also *In re Hambleside Danelaw Ltd* (O/203/18).

¹⁰⁵ *Best-Lock (Europe) Ltd v. Lego Juris A/S*, R 1695/2013-4 (OHIM, Fourth BoA) (shape of a LEGO mini-figure). For an overview of the relevance of prior patents, see Fhima, ‘Functionality in Europe’, 687–9.

¹⁰⁶ EUTMR, Art. 7(1)(e)(iii); TMD 2015, Art. 4(1)(e)(iii) (extending beyond shapes to other characteristics).

¹⁰⁷ For discussion, see A. Kur, ‘Aesthetic Functionality in EU Law—Should it Be Deleted?’, in Dinwoodie and Janis (2021), 168; E. Rosati, ‘The Absolute Ground for Refusal or Invalidity in Article 7(1)(e)(iii) EUTMR/4(1)(e)(iii) EUTMD: In Search of the Exclusion’s Own Substantial Value’ (2020) 15 *JIPLP* 103; A. Quaedvlieg, ‘Substantial Value and the Concept of Shapes’, in N. Bruun, G. Dinwoodie, M. Levin, and A. Ohly (eds), *Transition and Coherence in Intellectual Property Law: Essays in Honour of Annette Kur* (2021), 373.

¹⁰⁸ *Hauck GmbH v. Stokke*, Case C-205/13, EU:C:2014:322, [AG70] (AG Szpunar).

¹⁰⁹ *Ibid.*, [AG80].

¹¹⁰ *Ibid.*, [AG81]–[AG84].

¹¹¹ *Hauck GmbH & Co. KG v. Stokke A/S*, Case C-205/13, EU:C:2014:2233, [2014] ETMR (60) 1215, [31]–[32].

¹¹² *Ibid.*, [36].

¹¹³ *Bang & Olufsen v. OHIM*, Case T-508/08 [2012] ETMR 10, [73]–[77] (pencil-shaped loudspeaker, which had considerable aesthetic appeal but was also purchased for its sound quality and brand appeal).

¹¹⁴ *Gömböc Kutató, Szolgáltató és Kereskedelmi Kft. v. Szellemi Tulajdon Nemzeti Hivatala*, Case C-237/19, EU:C:2020:296, [2020] FSR (34) 920.

¹¹⁵ *Ibid.*, [45]–[46].

¹¹⁶ *Ibid.*, [40].

¹¹⁷ *Ibid.*, [41].

¹¹⁸ *Ibid.*, [42].

¹¹⁹ EUIPO *Examination Guidelines*, Part B, Section 4, Chapter 6, [4] (‘Shape or Other Characteristics Giving Substantial Value to the Goods’).

¹²⁰ *Hauck GmbH & Co. KG v. Stokke A/S*, Case C-205/13, EU:C:2014:2233, [2014] ETMR (60) 1215, [34]–[35].

¹²¹ *Bang & Olufsen v. OHIM*, Case T-508/08, [2011] ECR II-6975, [2012] ETMR (10) 203.

¹²² *Ibid.*, [73]–[77].

¹²³ *The London Taxi Corporation Ltd v. Frazer-Nash Research Ltd* [2016] EWHC 52 (Ch), [2016] FSR (20) 579, [196]–[215].

¹²⁴ *Ibid.*, [209].

¹²⁵ *Ibid.*, [213]–[215].

¹²⁶ See Chapter 36, section 3.1; *Gömböc Kutató, Szolgáltató és Kereskedelmi Kft. v. Szellemi Tulajdon Nemzeti Hivatala*, Case C-237/19, EU:C:2020:296, [2020] FSR (34) 920, [50].

¹²⁷ *Ibid.*, [49]–[62].

¹²⁸ *Ibid.*, [60]. On remand to the Hungarian Supreme Court, this argument—that the identity of the famous mathematicians who designed the gömböc and its ‘backstory’ were the basis for its appeal—was unsuccessful. See A. Laszlo, ‘Gömböc # 3: the Final Decision’ *Kluwer Trademark Blog* (6 Dec. 2021), at <http://trademarkblog.kluweriplaw.com/2021/12/06/gomboc-3-the-final-decision/> <<http://trademarkblog.kluweriplaw.com/2021/12/06/gomboc-3-the-final-decision/>>.

¹²⁹ *Ibid.*, [62].

¹³⁰ *Gancino Quadrato Singolo*, R 395/1999–3 (OHIM, BoA), [33].

¹³¹ *Christian Louboutin v. Van Haren Schoenen BV*, Case C-163/16, EU:C:2017:495, [70] (AG Szpunar) (the ‘analysis relates exclusively to the intrinsic value of the shape, and must take no account of attractiveness of the goods flowing from the reputation of the mark or its proprietor’); *The London Taxi Corporation Ltd v. Frazer-Nash Research Ltd* [2016] EWHC 52 (Ch), [2016] FSR (20) 579, [209].

¹³² *Benetton v. G-Star*, Case C-371/06 [2007] ECR I-7709.

¹³³ See Chapter 35, section 2.1.3.

¹³⁴ Bently and Sherman (2001), 769–73.

¹³⁵ *Dyson v. Registrar of Trade Marks* [2003] EWHC 1062 (Ch), [2003] ETMR (77) 937, [16].

¹³⁶ *Koninklijke Philips v. Remington*, Case 299/99 [2002] ECR I-5475.

¹³⁷ *Philips v. Remington* [1999] RPC 809 (CA).

¹³⁸ *Koninklijke Philips v. Remington*, Case 299/99 [2002] ECR I-5475, [41]–[46].

¹³⁹ *Ibid.*, [39].

¹⁴⁰ *Ibid.*, [40].

¹⁴¹ *Ibid.*, [37].

¹⁴² *Ibid.*, [38]. It has been argued that this decision still leaves room for an understanding of s. 1 as concerned with whether a sign has capacity to distinguish in the abstract, whereas s. 3(1)(b)–(d) concerns whether a sign is distinctive for the particular goods or services for which registration is sought: D. Keeling, ‘About Kinetic Watches, Easy Banking and Nappies that Keep a Baby Dry’ [2003] IPQ 131, 134–6; *Sat. 1 v. OHIM*, Case C-329/02P [2004] ECR I-8317, [AG16]–[AG17] (AG Jacobs). Indeed, the Court of Justice has stated that the fact that a sign is ‘in general, capable of

constituting a trade mark' does not mean that the sign necessarily has distinctive character for the purposes of CTMR, Art. 7(1)(b), in relation to a specific product or service: *Henkel v. OHIM*, Cases C-456/01P and 457/01P [2004] ECR I-5089, [32]; *OHIM v. BORCO-Marken-Import Matthiesen GmbH & Co. KG*, Case C-265/09P [2010] ECR I-8265, [29].

¹⁴³ *Koninklijke Philips v. Remington*, Case 299/99 [2002] ECR I-5475, [46].

¹⁴⁴ *Fromageries Bel SA v. J Sainsbury plc* [2019] EWHC 3454 (Ch), [2020] RPC (3) 85 (Hacon J).

¹⁴⁵ Case C-418/02 [2005] ECR I-5873.

¹⁴⁶ *Ibid.*, [34]. But see *Apple Inc. v. German Patent Office*, Case C-421/13 [2014] ETMR 48, [26], where the Court recognizes that a mark can be registered for services 'where those services do not form an integral part of the offer for sale of those goods' such as 'demonstrations by means of seminars of the products that are displayed there'. The Court notes that such services might be 'remunerated'. The tenor of the judgment is quite different from that in *Praktiker*, which specifically rejected the need to specify the services in any detail, and thus casts considerable doubt over the breadth of that holding. Probably the Court in *Apple* intended to clarify that a trader which was selling its own goods (rather than a variety of goods of diverse manufactures), might still offer relevant retail services.

¹⁴⁷ EU:C:2014:2069, [2014] ETMR (52) 1053.

¹⁴⁸ These types of marks are recognized in several other jurisdiction as well. For an overview, see WIPO, 'Technical and Procedural Aspects Relating to the Registration of Certification and Collective Marks', 15 February 2010 (SCT/23/3).

¹⁴⁹ TMA 1994, s. 49(1). Paris, Art. 7*bis*, requires its membership to recognize collective marks.

¹⁵⁰ Reg. No. UK00003127914. BIID stands for the British Institute of Interior Design.

¹⁵¹ TMA 1994, s. 50(1).

¹⁵² Reg. No. UK0000831407. The mark certifies both the geographical origin as well as method of production for this blue cheese.

¹⁵³ Reg. No. UK00002265372 (certifying product safety to standards set by the British Standards Institution, the mark was surrendered in 2012, seemingly in favour of an EUTM registration).

¹⁵⁴ M. Gonzalez, 'Collective, Guarantee and Certification Marks and GIs: Connections and Dissimilarities' (2012) 7 *JIPLP* 251; for GIs, see Chapter 43.

¹⁵⁵ TMA 1994, Sch. 1, para. 5.

¹⁵⁶ TMA 1994, Sch. 2, para. 4.

¹⁵⁷ TMA 1994, Sch. 2, para. 6(2).

¹⁵⁸ See J. Belson, *Certification and Collective Marks: Law and Practice* (2017); Kerly, ch. 14.

¹⁵⁹ This is encouraged by the UK Registry. See UK IPO, *Manual of Trade Marks Practice* (2019), [3.4.2] ('Most certification marks are available for use by any person whose goods or services demonstrate the relevant characteristic being certified').

¹⁶⁰ TMD 2015, Arts 1, 27 (definitions), 28 (guarantee or certification marks, as an optional measure), 29–36 (collective marks, as a mandatory requirement). Under the TMD 2008, Art. 15, it was optional for EU member states to recognize and register such marks.

¹⁶¹ EUTMR, Arts 74–82.

¹⁶² EUTMR, Arts 83–93.

¹⁶³ Confirmed by the EUIPO *Examination Guidelines*, Part B, Section 4, Chapter 16 ('European Union Certification Marks'), [2.1].

¹⁶⁴ Collective marks were first incorporated into Paris, Art. 7bis, at the Washington revision conference in 1911. See Ricketson (2015), 586–92. Standardization marks were introduced into UK trade mark law via the Trade Marks Act, 1905, s. 62. See N. Dawson, *Certification Trade Marks: Law and Practice* (1988), 15.

¹⁶⁵ *W. F. Gözze Frottierweberei GmbH v. Verein Bremer Baumwollbörse*, Case C-689/15 [2017] *Bus LR* 1795.

¹⁶⁶ *Ibid.*, [41]–[51]. But cf. *The Tea Board v. EUIPO*, Cases C-673/15P–676/15P, EU:C:2017:702, [50], [63] (collective marks also have a distinguishing function similar to individual trade marks; they distinguish the goods or services of the members of the association which is the proprietor of the trade mark from those of other undertakings).

¹⁶⁷ See e.g. *The Tea Board v. EUIPO*, Case C-673/15 P, EU:C:2017:702 (Darjeeling); *Foundation for the Protection of the Traditional Cheese of Cyprus named Halloumi v. EUIPO*, Case C-766/18 P, EU:C:2020:170 (Halloumi cheese).

¹⁶⁸ *Organismos Kypriakis Galaktokomikis Viomichanias v. OHIM*, Case T-535/10, EU:T:2012:292, [2012] *ETMR* (55) 988, [50]–[55].

¹⁶⁹ *In re Hadju Halloumi's Application* (O/152/20) 11 March 2020.

¹⁷⁰ *Foundation for the Protection of the Traditional Cheese of Cyprus Named Halloumi v. Babel Sajt Kft.* [2020] *EWHC* 2858 (Ch). The decision contains a review of the legal nature and communicative functions of collective mark.

¹⁷¹ M. Chon, 'Marks of Rectitude' (2009) 77 *Fordham L Rev* 2311; J. C. Fromer, 'The Unregulated Certification Mark(et)' (2017) 69 *Stanford L Rev* 121; A. Mogyoros, 'Attestation Marks and Pseudo-Certification Marks: A Divergence of Roles in Trademark Law' [2021] *EIPR* 219.

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